suppose six months later, interest rates in the economy increase dramatically, and banks are now paying 5% on one-year CDs. You're stuck with a 4% CD for another six months. Though you would like to get out of the 4% CD and into a 5% CD, the early withdrawal penalty you'd have to pay might be so large that it wouldn't be worth it. You won't face this risk with a money market fund or a savings account because the rate you receive will rise (slower with the savings account than the money fund) as interest rates in the economy rise. Of course, this works in reverse too. If interest rates fall and new CDs are paying 3%, you'd be a winner with your 4% CD.

THE BEAUTY OF SAVING AUTOMATICALLY

Although you're probably not going to keep your life savings in a bank forever, a bank savings account is a great place to start. If you haven't been able to accumulate much savings on your own, have someone save *for* you. "Forced" savings methods that pull money from your checking account into a savings account offer an effortless way to build up a nest egg. (For more details, see Chapter 2.) One idea: Ask your employer to put the bulk of your salary into a checking account and the rest into a savings account. Or have your bank transfer a certain amount into your savings account once your paycheck has been deposited into your checking account. This will take you less than five minutes on your bank's website.

JOINT VERSUS SEPARATE ACCOUNTS

Before you open a joint account with anyone, give it serious thought. With a joint savings or checking account, either person has complete access to all the money. What's more, if you have a falling-out with that person, dividing up the money could get ugly.